

solid backtesting environment set up, such as a Python-based system with Zipline or similar engine, you can then dynamically calculate the continuations when needed.

But you're probably looking for an actual data source recommendation, and I will give you one. There is a low cost, high quality source which provides data on hundreds of thousands of individual contracts and offers a custom-made Zipline interface as well. This set-up is likely to save you quite a bit of time in getting started with backtesting futures models.

For this book, I have used the data provider Norgate Data exclusively for this reason, and all the backtests and analytics in this book were done using Norgate in combination with Python and Zipline. In fact, my 2019 book *Trading Evolved* (Clenow 2019), is also entirely based on this set-up and it explains in detail how to set up such an environment, and how to use it to construct backtests. If you want to dig deeper into the subject and learn how to code backtesting strategies, that should be the next book on your list.

■ Data Storage

You have two main ways you can go in terms of data storage. Either you can rely completely on your chosen data provider and let your strategy modelling software and tools work directly against this source or you can create your own local database. If your software talks directly to your vendor's database, you will be a little more vulnerable and if their source happens to be down while you need to work, that can cause a bit of a problem. Some vendors shut down for maintenance on weekends, for instance, and perhaps you need access to the data then. Other vendors will automatically send you text files with data on a daily basis, which will counter the risk of server downtime on their side but it still makes you very dependent on their technical formats and standards. This is very much a matter of preference, but I like to create generic database solutions in-house, so that the critical part of the business will always be shielded from the particulars of any individual data provider. This makes it easier to switch provider if needed or mix data from several providers and in general gives you much more freedom and control over your own data. Setting up a MySQL database or similar and having your strategy modelling software speak directly to that are both inexpensive and easily done.